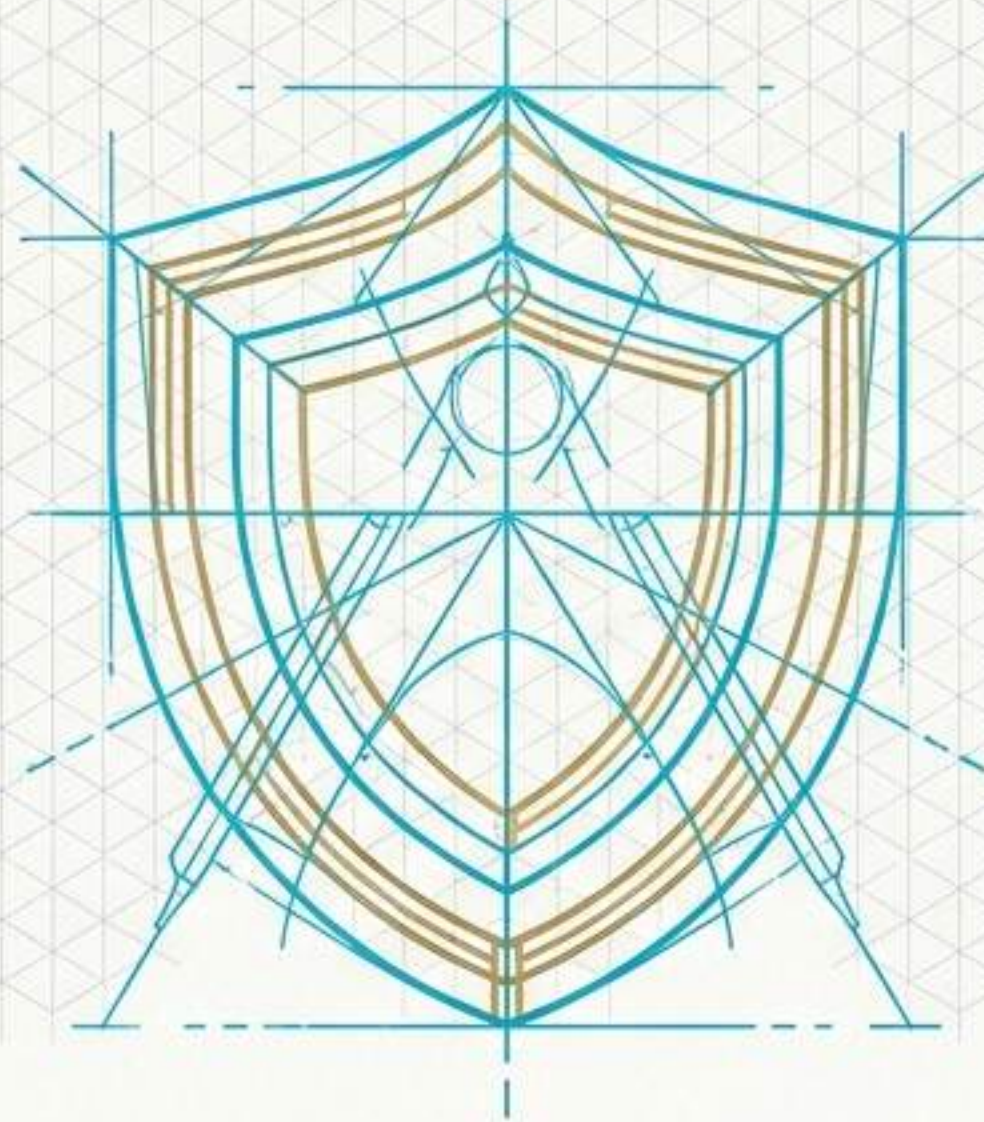




Principles of Insurance & Risk Management

The Exam Blueprint for CFP® Professionals



Module 1
Mastery
Document

The Anatomy of a Loss



Hazard

A condition that increases the potential for loss (e.g., oily rags next to a heater).

Peril

The direct cause of the loss (e.g., fire, flood, hurricane).

Risk

The possibility of a loss, or a negative deviation from a desired outcome.

Loss

The actual financial or physical damage suffered.

**EXAM
BADGE**

Test Tip: Never confuse Peril and Hazard. The peril causes the loss; the hazard increases the chance of the peril happening.

Categorizing the Nature of Risk

Source of Change

Static Risks: Occur regularly, unrelated to economic shifts (e.g., earthquakes).

Dynamic Risks: Caused by economic changes (e.g., inflation, recessions). Uninsurable.

Scope of Impact

Fundamental Risks: Affect large groups or society as a whole (e.g., war, severe recessions).

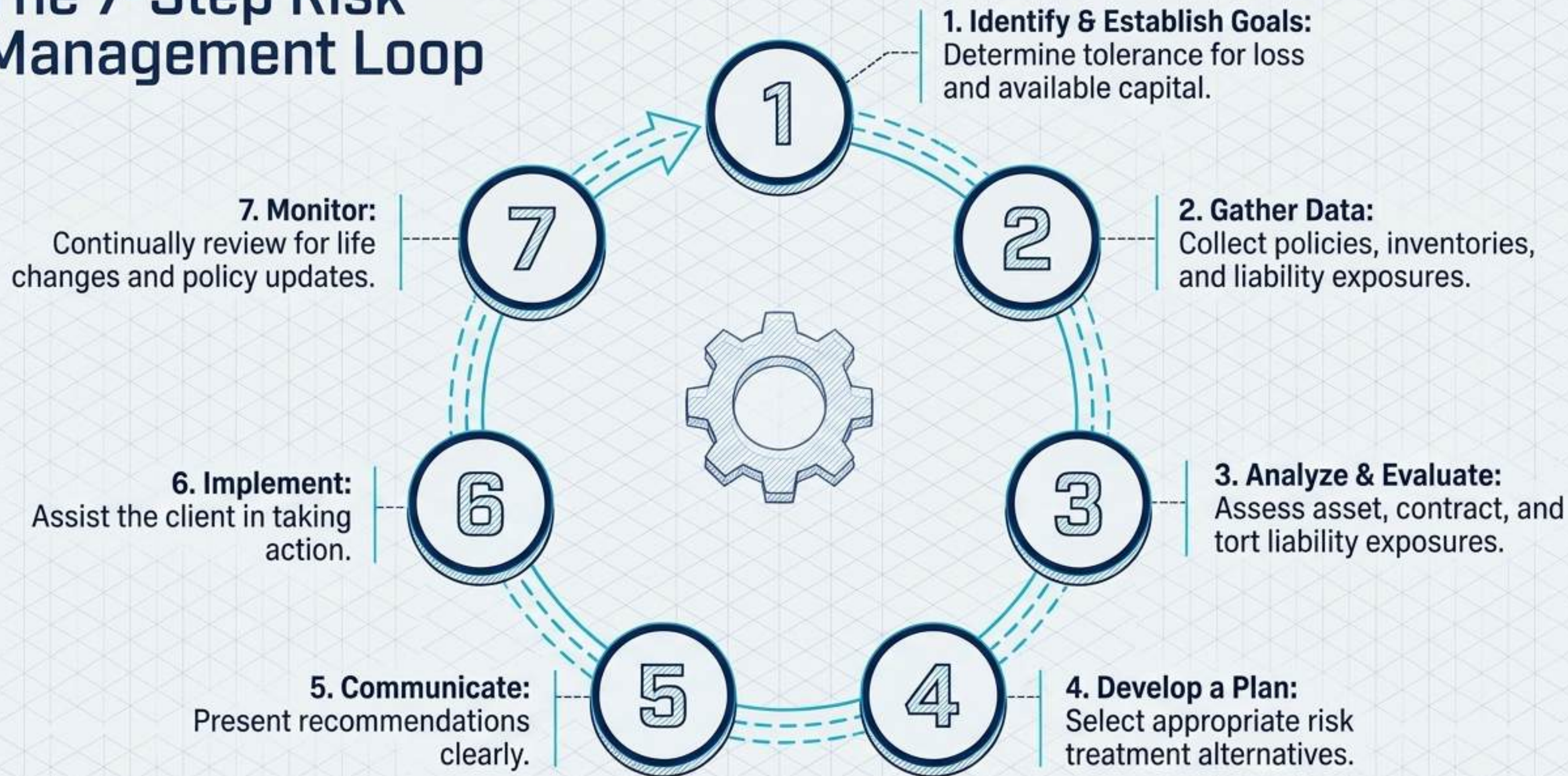
Particular Risks: Affect individuals or small, specific groups (e.g., a single house fire).

Potential for Gain

Pure Risk: Only the chance of loss or no loss. No chance of gain. (Insurable)

Speculative Risk: Involves both the chance of loss and the chance of gain (e.g., gambling, investing). (Uninsurable)

The 7-Step Risk Management Loop



The Risk Management Matrix



Test Tip: Self-insurance is a form of Risk Retention used by large businesses with predictable, homogenous exposure units.



The Elements of an Insurable Risk

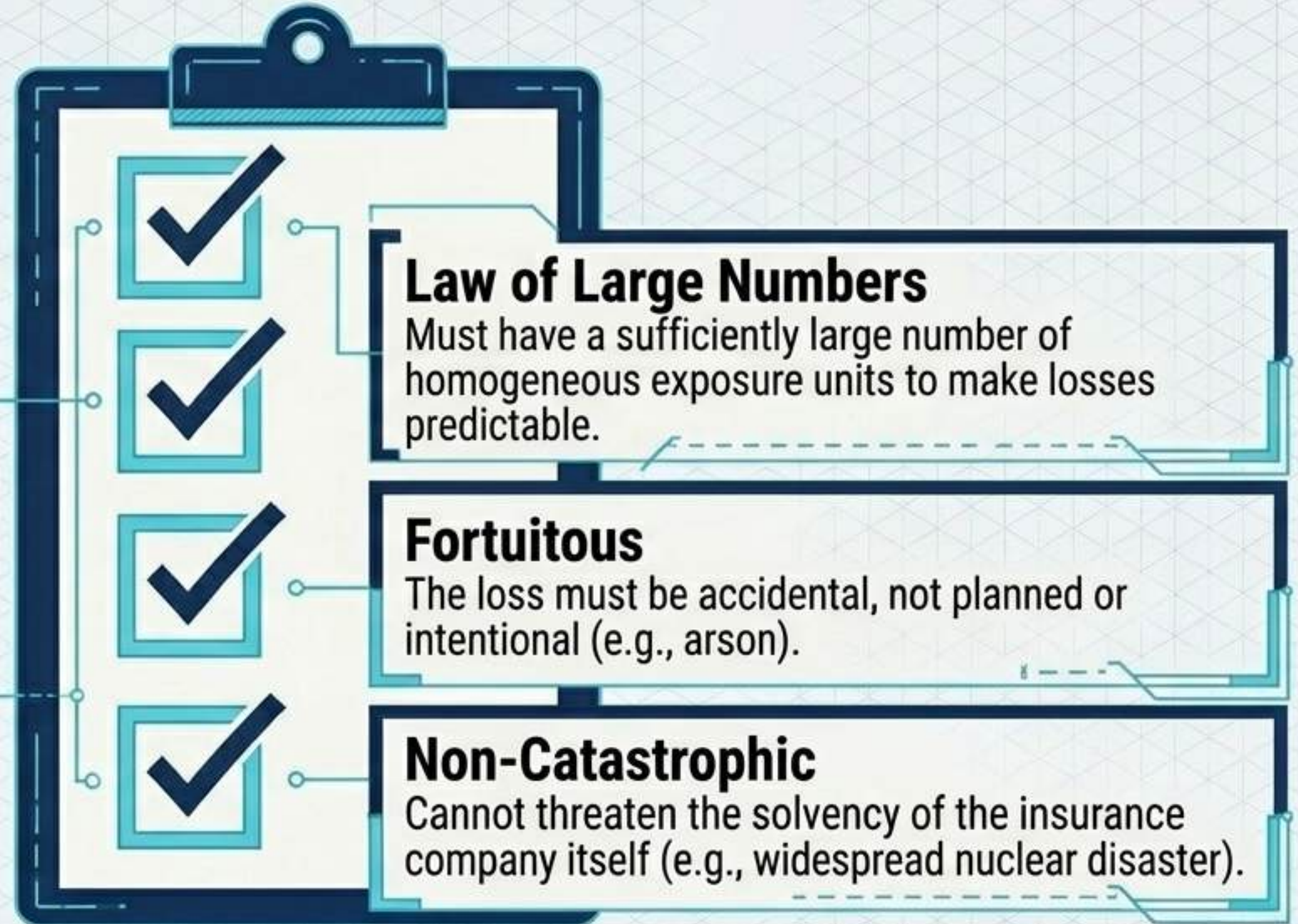
Actuaries price risk based on predictable losses. From the insurer's perspective, a risk must meet four criteria:

Definite & Measurable

The financial loss must be quantifiable to set limits and pay claims.

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The Distribution Channel & Legal Representation

TOP SECTION

Producer Types Grid

Independent	Captive	Career	PGA	Surplus-Line
Represents multiple companies (American agency system).	Represents only one company (Direct writers)	Life insurance agents, often captive but may have multiple contracts	Producing General Agent; primarily sells, no specified territory	Accesses non-admitted (out-of-state) insurers for uninsurable risks

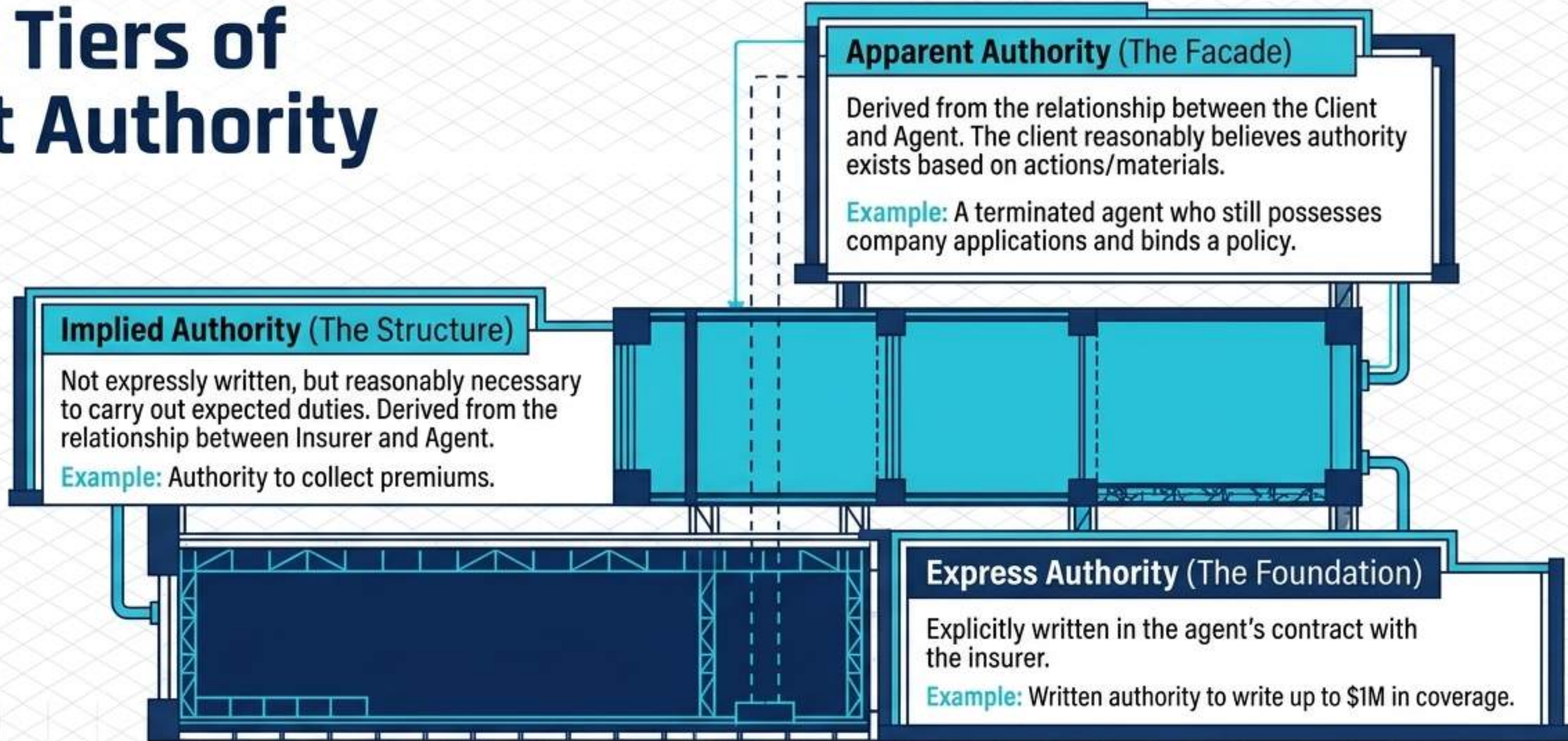
BOTTOM SECTION

Split Screen: Agent vs. Broker

Agent	Broker
Represents the Insurer. Legally binds the principal (insurer). Knowledge is imputed to the insurer.	Represents the Insured (Client). Cannot legally bind the insurer.



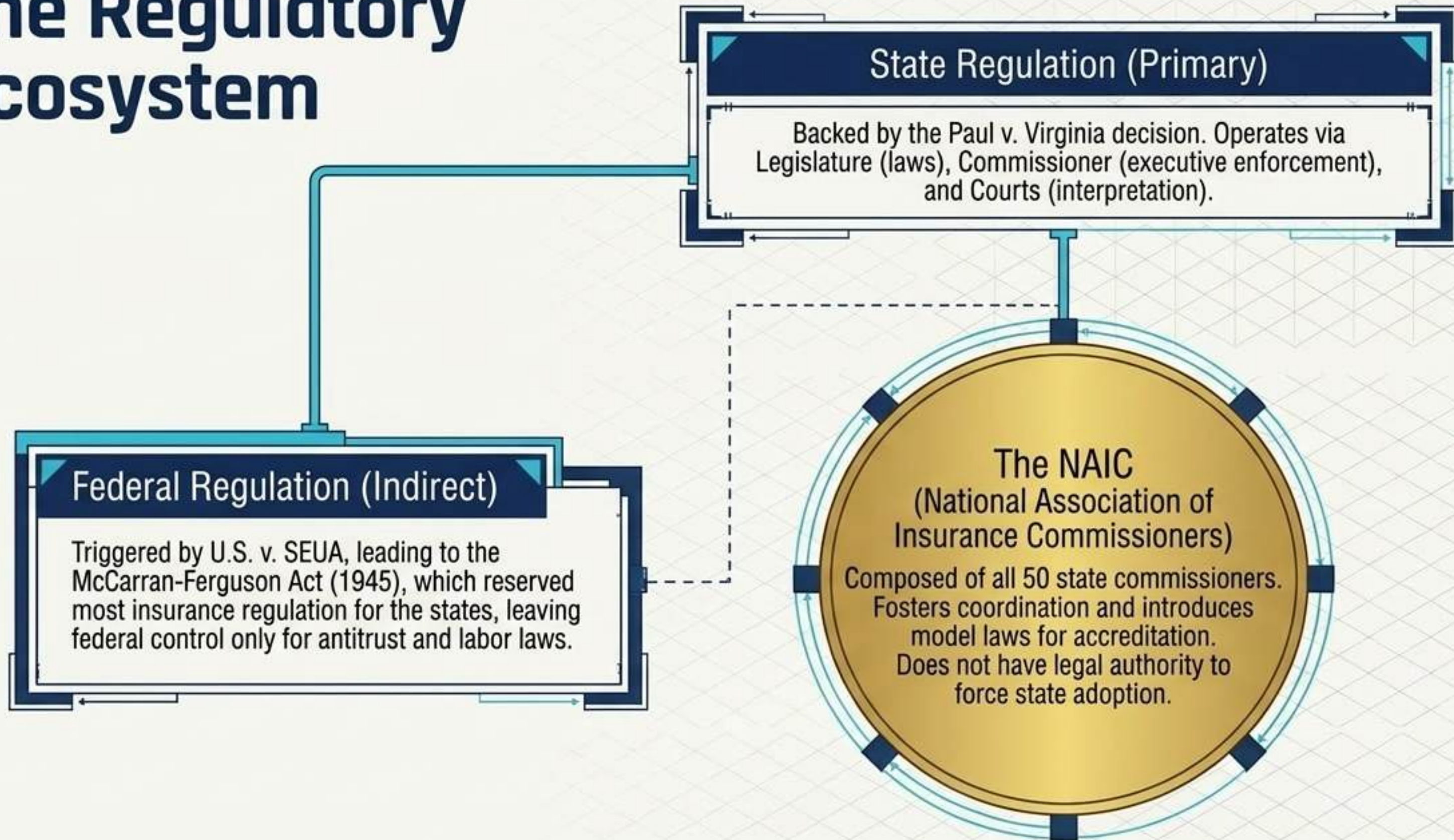
The 3 Tiers of Agent Authority



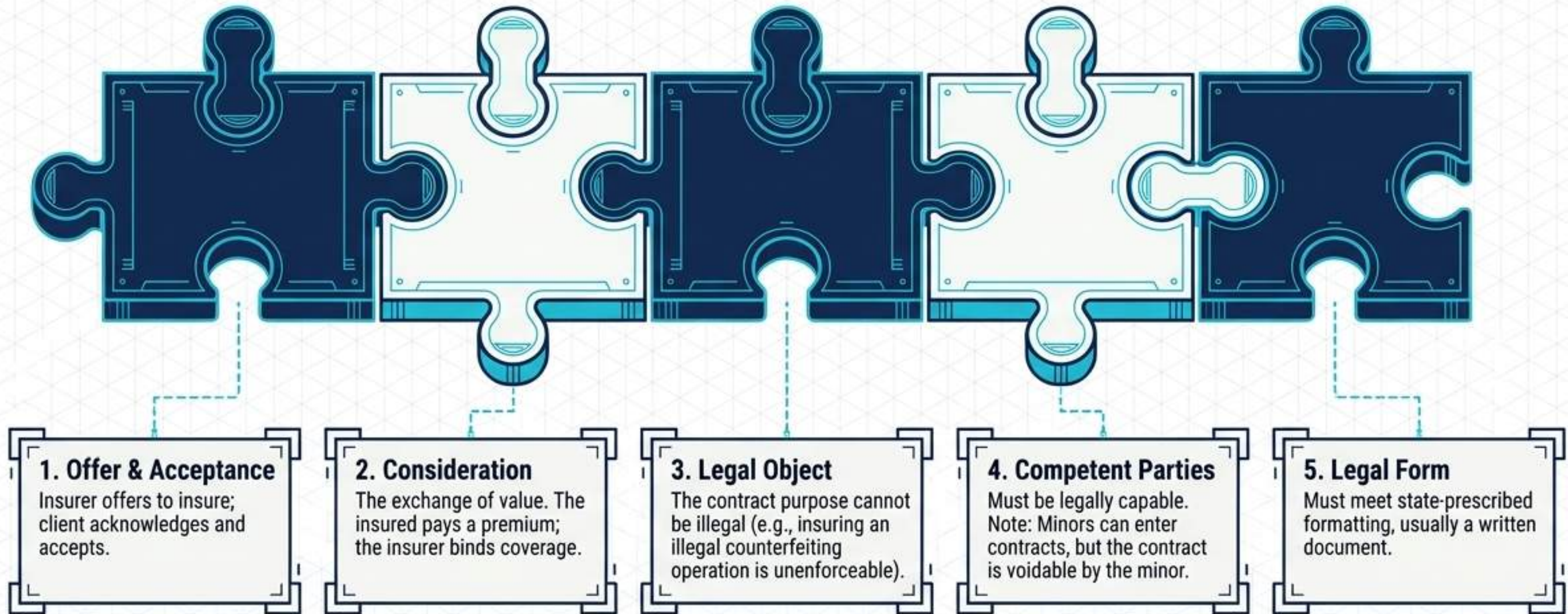
Gold Exam Badge

Test Tip: If an insurer accepts premiums on a prohibited risk, they have "ratified" the agent's act, legally modifying the agency agreement.

The Regulatory Ecosystem



Legal Requirements of an Enforceable Contract



Test Tip: While minors can void contracts, the insurer is generally bound. Competency primarily protects the minor.

Unique Characteristics of Insurance Contracts



Aleatory

Controlled by chance. Dollars changing hands are substantially unequal (e.g., \$1,000 premium for a \$1M payout).



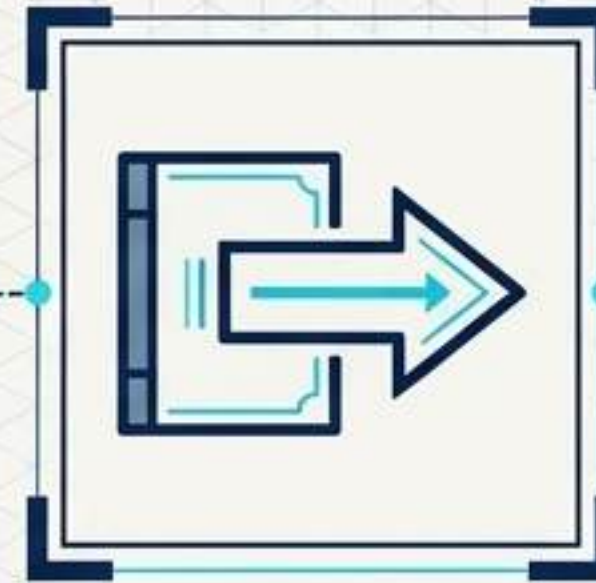
Adhesion

Prepared by one party (insurer) with no negotiation. "Take it or leave it."



Conditional

The insurer only pays if a covered loss occurs and specific duties are met.



Unilateral

Only one party (the insurer) makes a legally enforceable promise. The insurer cannot sue the client for unpaid premiums.



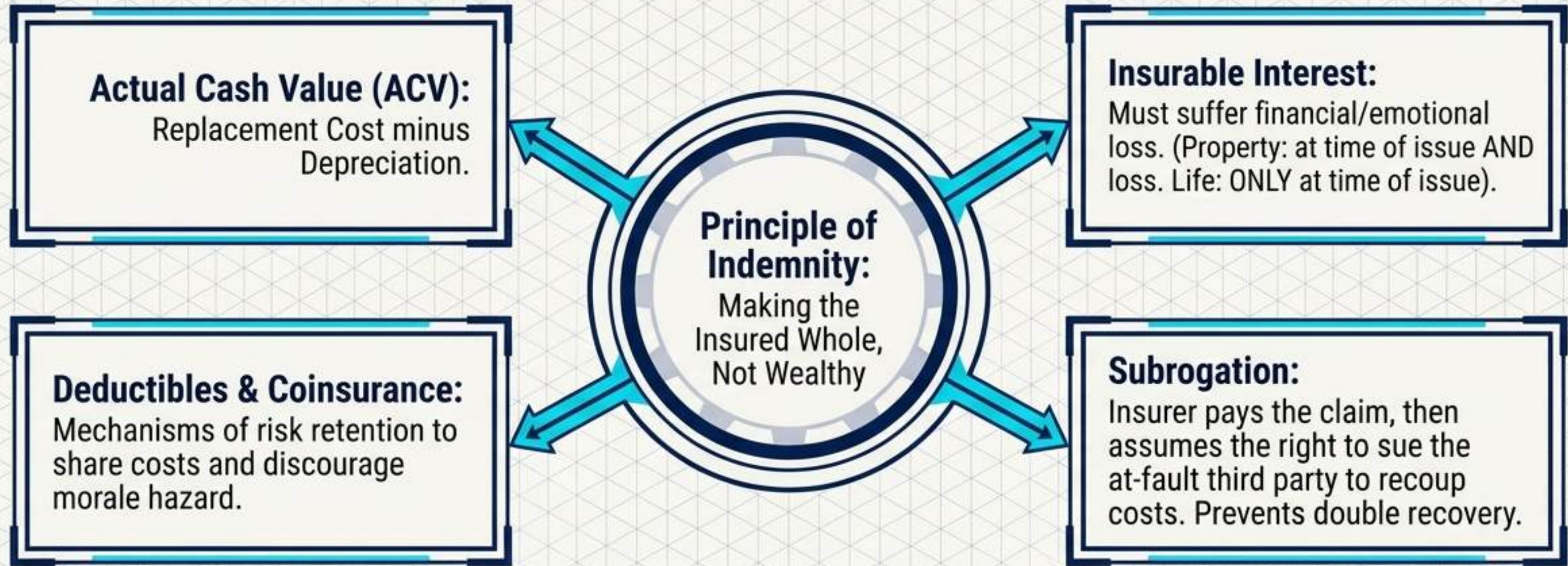
Personal

Ties the risk to the individual. Cannot be transferred without written permission.



Test Tip: Utmost Good Faith is required. A material "Misrepresentation" or "Concealment" can void the contract.

Indemnity & Insurer Liability Limits



The Exception: Collateral Source Rule

If others cause your loss, they cannot reduce their liability simply because you have insurance.

Resolving Contract Disputes

Waiver & Estoppel (The Chain Reaction)

Waiver: Voluntary relinquishment of a known right (e.g., an agent accepts an application that fails criteria).



Estoppel: A legal block preventing a party from asserting a right because of their prior actions (e.g., the insurer is estopped from denying the claim because the agent waived the criteria).

Equitable Remedies (The Court's Fix)



Rescission:

Contract is deemed null from the beginning due to fraud, concealment, or mutual mistake. Premiums are returned.



Reformation:

The written document is rewritten/changed to express the original, true intentions of the parties (e.g., fixing a misprinted \$1M benefit to the intended \$100k).

The Anatomy of a Tort & Civil Liability

The 4 Elements of Negligence (Unintentional Tort)



Specialized Liability



Attractive Nuisance

A property feature likely to attract/injure children (e.g., an unfenced pool).
Requires high degree of care.



Negligence Per Se

Duty of care is established by statute (e.g., speeding in a school zone).



Absolute/Strict Liability

Liability without fault.
Extra-hazardous activities (e.g., keeping wild animals).



Vicarious Liability

Held liable for the acts of another (e.g., a parent for a child, an employer for an employee).

Defenses Against Liability Claims

Assumption of Risk	Contributory Negligence	Comparative Negligence
Concept: Party recognizes the danger and voluntarily engages anyway. Outcome: Total bar to recovery (e.g., injuries from voluntarily riding a horse).	Concept: The strictest approach. If the injured party is even 1% at fault, they cannot recover any damages. Outcome: Total bar to recovery. Modifier: Last Clear Chance. Allows recovery if the defendant had a final opportunity to avoid the accident but failed.	Concept: The most common approach. Liability is reduced proportionally based on the injured party's contribution to the negligence. Outcome: Partial recovery (e.g., if plaintiff is 20% at fault, award is reduced by 20%).

The Underwriting Gateway



Actuarial Foundations

Mortality: Incidence of death.
(Drives Life Insurance premiums).

Morbidity: Incidence of illness/injury.
(Drives Disability & Health premiums).

The Hazard Exam Trap



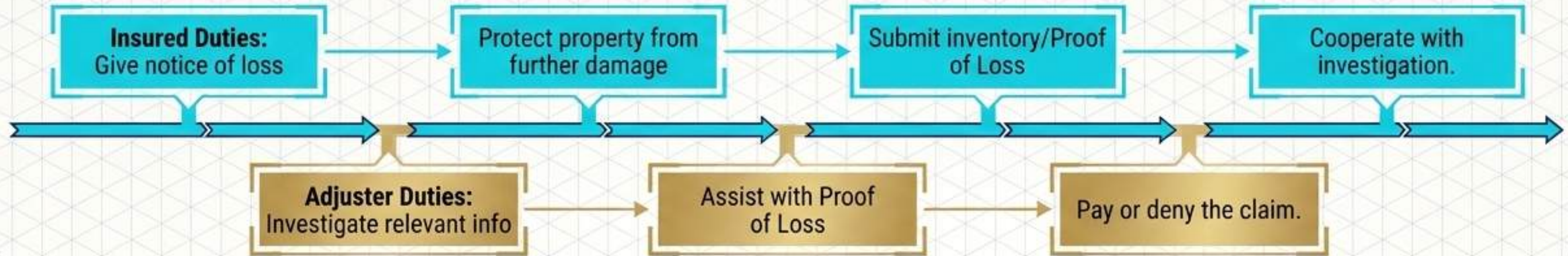
Moral Hazard: Unethical intent or misrepresentation to induce a claim (e.g., arson, hiding a DUI).



Morale Hazard: Apathetic indifference because insurance exists (e.g., leaving a car unlocked with keys inside).

Loss Adjustment & Claims Settlement

The Adjustment Timeline



Insurer Settlement Options



Evaluating the Market: Selecting an Insurer

Rating Agencies

A.M. Best

The oldest, and the only agency that specializes exclusively in the insurance industry.

Demotech

Specializes in P&C and title insurers.

Moody's & S&P

Broad financial rating agencies (S&P offers free qualified solvency ratings).

TheStreet.com

Uses public info only; never charges the rated companies.

Corporate Structure

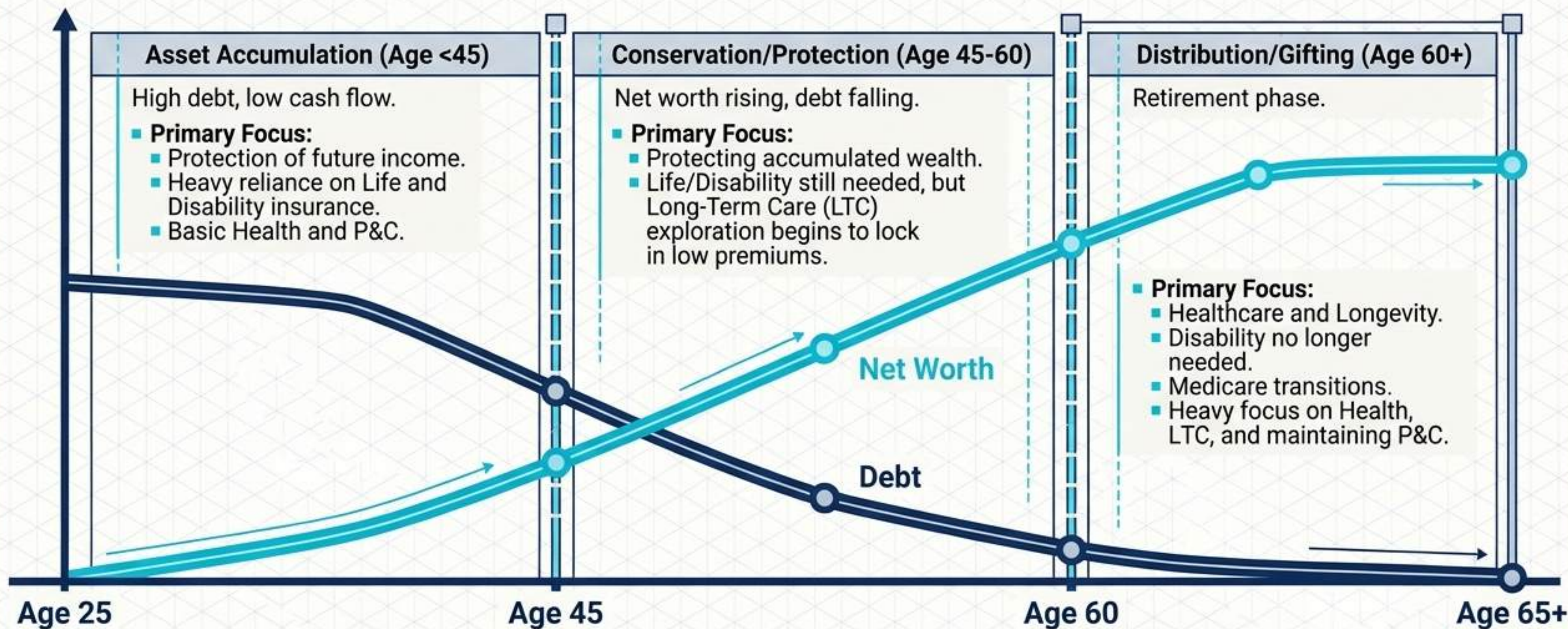
Stock Companies

- Owned by stockholders.
- Profit driven.
- Outside oversight.

Mutual Companies

- Owned by policyholders.
- Profits paid as dividends.
- Goal is lower net cost for policies.

Synthesis: The Risk Manager's Lifecycle Checklist



Test Tip: As a client ages, their risk profile shifts from protecting **Human Capital** (Disability/Life) to protecting **Financial Capital** (LTC/Health/Liability).